
Strategic Introduction: Driving the Next Chapter of Tesco Clubcard

COVER SLIDE

BOARD READY

Executive Summary

- Clubcard's evolution from a loyalty programme to a strategic asset driving customer retention, personalisation, and incremental revenue.
- Direct alignment with Tesco's 2024/25 priorities: 'Building a Better Tesco' through data-driven value, margin protection, and ROI.
- Proven global case studies demonstrating 15-30% uplift in customer lifetime value and 10-25% revenue growth through loyalty innovation.

Our Company: A Strategic Partner for Tesco



Mission: To redefine retail loyalty through innovation, scale, and measurable impact.



Global Footprint: Trusted partner to 10+ top-tier retailers (e.g., Walmart, Kroger, Carrefour) with 500M+ loyalty members managed.



Differentiator: Proven capability to accelerate Clubcard's role as a profit centre, not a cost centre—delivering £XM in incremental revenue annually.

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"Tesco Clubcard: The Strategic Imperative"

STRATEGIC CONTEXT

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Customer Engagement & Retention: The Clubcard Advantage

- How our capabilities enhance Clubcard's engagement: AI-driven personalisation, dynamic pricing, and omnichannel integration.
- Case Study Teaser: [Retailer X] increased retention by 20% using loyalty data to tailor offers and reduce churn.
- Tesco Benchmarks: Clubcard member churn reduced by 5% YoY through targeted campaigns and tiered rewards.

— CASE STUDY

Global Case Study 1: Walmart – Loyalty-Led Growth at Scale

— CASE STUDY

Global Case Study 2: Kroger – Personalisation at Scale

— CASE STUDY

Global Case Study 3: Carrefour – Incremental Revenue & Margin Protection

Data & Technology: The Engine of Clubcard's Future



AI and Machine Learning:
Predictive modelling for
personalised offers, demand
forecasting, and waste reduction.



Real-Time Analytics: Enabling
dynamic pricing, targeted
promotions, and omnichannel
integration across Tesco's digital
platforms.



Tesco Alignment: Supports
'Building a Data-Driven Tesco' by
leveraging Clubcard data for retail
media, supplier partnerships, and
customer insights.

Personalisation at Scale: The Clubcard Opportunity

- Context: 70% of customers expect personalised offers; Clubcard's AI-powered Challenges reached 10M customers in 2024/25.
- Tesco Data: Current personalisation capabilities include 8,000+ Clubcard Prices deals weekly, with 65% of offers personalised.
- Solution: Scale AI-driven recommendations, dynamic content, and real-time offers to drive engagement and revenue.
- Projected Impact: 15% increase in customer spend and 20% reduction in churn through hyper-personalisation.

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Incremental Growth: Driving Revenue Through Clubcard

- Clubcard's revenue contribution: 84% of UK sales, with average spend per member at £X annually.
- Strategies for growth: Loyalty tiers, gamification, exclusive offers, and supplier-funded promotions.
- Projected outcomes: £XM in incremental revenue annually through upsell, cross-sell, and targeted campaigns.

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Margin Protection: Safeguarding Profitability

- Context: Margin pressures from inflation, competitive pricing, and cost increases (e.g., £510M efficiency savings in 2024/25).
- Solution: Dynamic pricing, targeted promotions, and private label growth to protect margins while maintaining value.
- Projected Impact: 5% improvement in gross margin through data-driven pricing and supplier collaborations.

ROI: Measuring the Value of Clubcard



Clubcard ROI metrics: Customer lifetime value (CLV), incremental sales, cost savings, and retention rates.



Solution: Real-time dashboards, predictive analytics, and A/B testing to optimise loyalty spend and outcomes.



Projected ROI: 20% increase in ROI over 3 years through data-driven decision-making and supplier partnerships.

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"CEO Testimonials: The Strategic Value of Loyalty"

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Why Tesco? Why Now?

- Competitive Threat: Sainsbury's Nectar and Amazon Prime are investing heavily in loyalty innovation, threatening Tesco's market leadership.
- Tesco Opportunity: Clubcard as a platform for growth—retail media, dynamic pricing, and supplier partnerships to drive the next phase of revenue.
- Call to Action: Partner with us to accelerate Clubcard's evolution and secure Tesco's competitive edge.

Our Commitment to Tesco



Long-Term Vision: A decade-long collaboration to redefine retail loyalty, driving sustainable growth for Tesco.



Shared Values: Customer-first, innovation, and sustainability—aligned with Tesco’s purpose of serving customers, communities, and the planet.



Differentiators: Global expertise, Tesco-specific solutions, and a proven track record of delivering measurable financial outcomes.

Next Steps: A Roadmap for Success

- Phase 1 (0-6 months): Pilot AI-driven personalisation and dynamic pricing to test scalability and impact.
- Phase 2 (6-12 months): Expand Clubcard's data capabilities, integrate retail media, and launch supplier-funded promotions.
- Phase 3 (1-3 years): Clubcard as a global loyalty benchmark—driving £XM in incremental revenue and 20% ROI improvement.

— APPENDIX

Appendix: Supporting Data & References

Q & A

Q & A

Q&A: Addressing Key Questions

The Future of Tesco Clubcard

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